

International Political Economy

Carlos Felipe Balcazar
Aparna Ravi

Department of Political Science & School of Public Policy
University College London

March, 2026

About the class

■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM

About the class

■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM

About the class

■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM
- Method: political economy (political science + econ concepts)...
...class exercises during seminar sessions...
...focused on critical/outside-the-box thinking.
- Grades: +70 first class honors; +60 is a 2-1; 50+ is a 2-2; <50 fail.

About the class

■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM
- Method: political economy (political science + econ concepts)...
...class exercises during seminar sessions...
...focused on critical/outside-the-box thinking.
- Grades: +70 first class honors; +60 is a 2-1; 50+ is a 2-2; <50 fail.

About the class

■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM
- Method: political economy (political science + econ concepts)...
...class exercises during seminar sessions...
...focused on critical/outside-the-box thinking.
- Grades: +70 first class honors; +60 is a 2-1; 50+ is a 2-2; <50 fail.

■ Expectations

- Goal: To help you understanding the strategic incentives behind international integration.

About the class

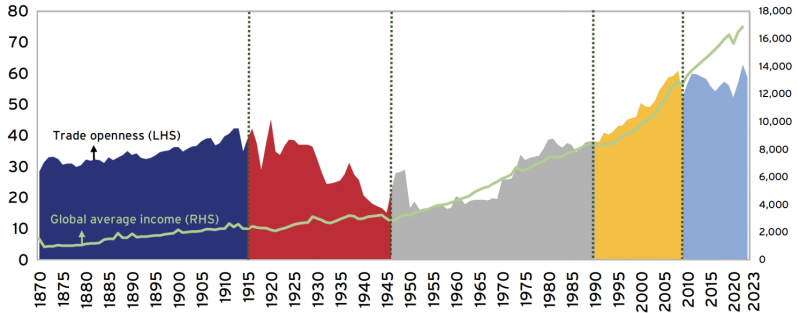
■ Instructor

- You can call me Felipe; your other lecturer is Aparna.
- E-mails: `c.balcazar@ucl.ac.uk`; `a.ravi@ucl.ac.uk`
- Office hours: Thursdays, 4.00PM-6.00PM
- Method: political economy (political science + econ concepts)...
...class exercises during seminar sessions...
...focused on critical/outside-the-box thinking.
- Grades: +70 first class honors; +60 is a 2-1; 50+ is a 2-2; <50 fail.

■ Expectations

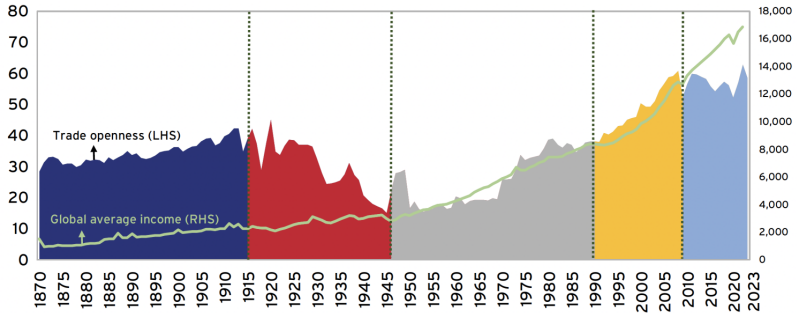
- Goal: To help you understanding the strategic incentives behind international integration.
- Your responsibilities: Come to class and participate; be respectful; engage in dialog; take/pass your exams.

Waves of globalization



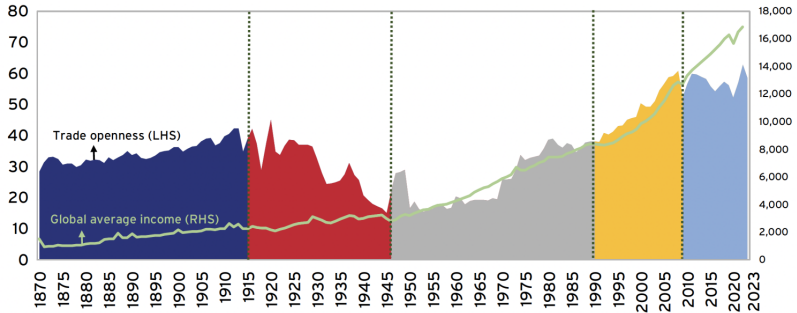
- 1st wave (1870-1914) - steam engine.
- 2nd wave (1944-1989) - post-war + shipping container.
- 3rd wave (1989-2008) - computerization.
- 4th wave (2010-today) - digital economy.

Waves of globalization



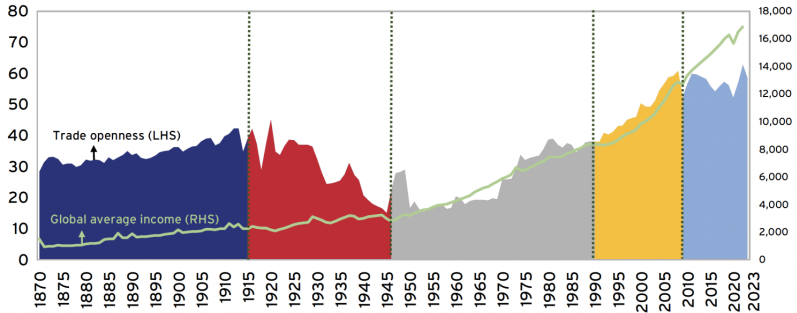
- 1st wave (1870-1914) - steam engine.
- 2nd wave (1914-1945) - post-war + shipping container.
- 3rd wave (1945-2010) - computerization.
- 4th wave (2010-today) - digital economy.

Waves of globalization



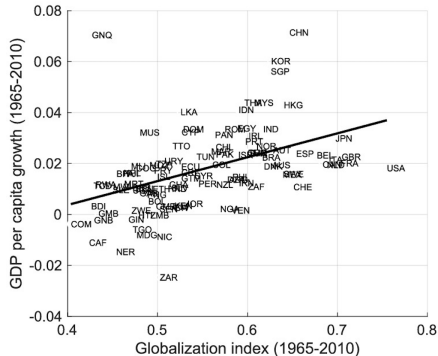
- 1st wave (1870-1914) - steam engine.
- 2nd wave (1944-1989) - post-war + shipping container.
- 3rd wave (1989-2008) - computerization.
- 4th wave (2010-today) - digital economy.

Waves of globalization



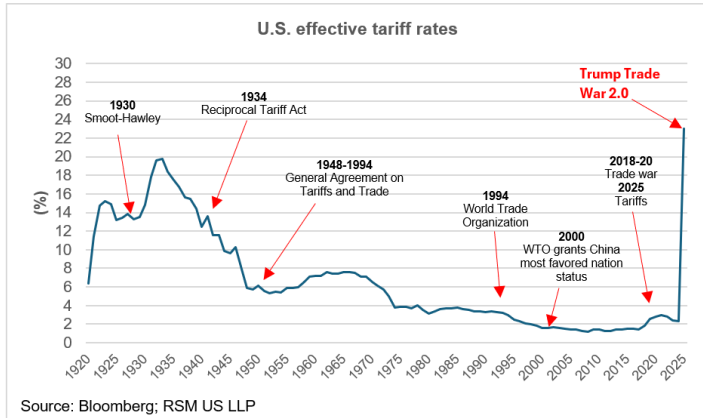
- 1st wave (1870-1914) - steam engine.
- 2nd wave (1914-1945) - post-war + shipping container.
- 3rd wave (1945-2010) - computerization.
- 4th wave (2010-today) - digital economy.

Waves of globalization



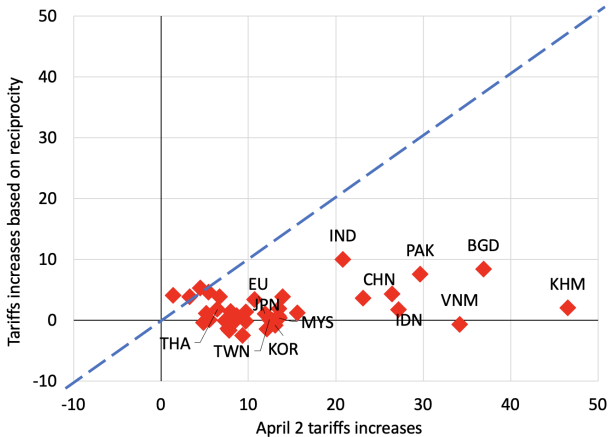
- 1st wave (1870-1914) - steam engine.
- 2nd wave (1944-1989) - post-war + shipping container.
- 3rd wave (1989-2008) - computerization.
- 4th wave (2010-today) - digital economy.

...but is it slowing down?



- Increased economic nationalism, and trade war.
- Lower levels of net migration due to changes in rules.
- ...but higher digitally-delivered service exports.

...but is it slowing down?

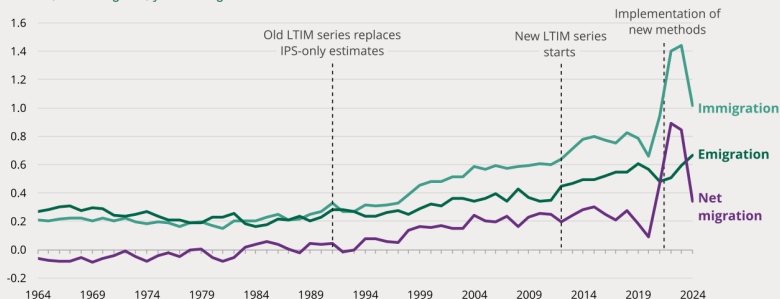


- Increased economic nationalism, and trade war.
- Lower levels of net migration due to changes in rules.
- ...but higher digitally-delivered service exports.

...but is it slowing down?

Estimates of international migration in the UK, 1964–2024

Millions, annual figures, year ending December



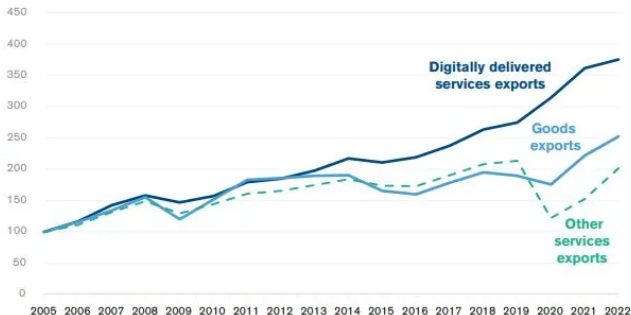
Note: 'LTIM' stands for long-term international migration. 'IPS' stands for International Passenger Survey. The ONS revised net migration between 2001 and 2011 following the 2011 census. However, it did not revise immigration or emigration, so these do not match with net migration during that period. All estimates from 2011 onwards have been revised at least once. The figure for 2024 is provisional.

- Increased economic nationalism, and trade war.
- Lower levels of net migration due to changes in rules.
- ...but higher digitally-delivered service exports.

...but is it slowing down?

Chart 12: Global exports of digitally delivered services

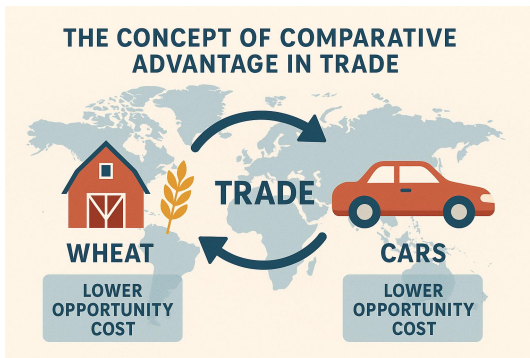
Index 2005=100



Source: WTO estimates.

- Increased economic nationalism, and trade war.
- Lower levels of net migration due to changes in rules.
- ...but higher digitally-delivered service exports.

Why international integration? Higher wellbeing



- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.
- International integration also reduces transaction costs.

Why international integration? Higher wellbeing

Country	Cars	Wheat
A	80\$	100\$
B	90\$	60\$

- Promotes efficient allocation of resources.

- Produce goods and services where is cheaper.
- Increases purchasing power of people all over.

- This is the principle of comparative advantage.

- International integration also reduces transaction costs.

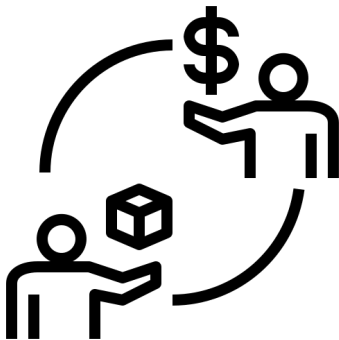
- Tariffs, regulations, transportation, etc.

Why international integration? Higher wellbeing

Country	Cars	Wheat
A	70\$	
B		40\$

- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.
- International integration also reduces transaction costs.
 - Tariffs, regulations, transportation, etc.

Why international integration? Higher wellbeing



- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.

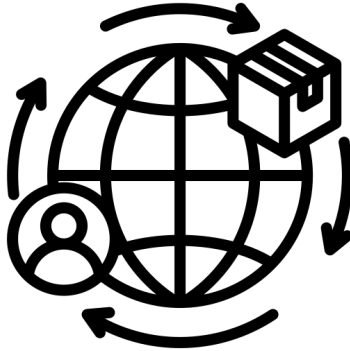
■ International integration also reduces transaction costs.

Why international integration? Higher wellbeing



- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.
- International integration also reduces transaction costs.
 - Tariffs, regulations, transportation, etc.

Why international integration? Higher wellbeing



- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.

■ International integration also reduces transaction costs.

Why international integration? Higher wellbeing



- Promotes efficient allocation of resources.
 - Produce goods and services where is cheaper.
 - Increases purchasing power of people all over.
- This is the principle of comparative advantage.

■ International integration also reduces transaction costs.

Why international integration? After the II world war



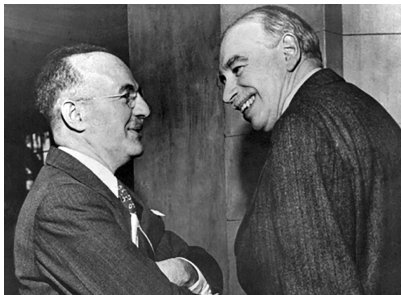
■ Bretton Woods.

- War is inherently costly and can be bad for business.
- ... it increases transaction costs.

■ Washington Consensus.

- ...but hegemons often impose their rules!

Why international integration? After the II world war



■ Bretton Woods.

- War is inherently costly and can be bad for business.
- ... it increases transaction costs.

■ Washington Consensus.

- ...but hegemons often impose their rules!

Why international integration? After the II world war

1. Reduce national budget deficits
2. Redirect spending from politically popular areas toward neglected fields with high economic returns
3. Reform the tax system
4. Liberalize the financial sector with the goal of market-determined interest rates
5. Adopt a competitive single exchange rate
6. Reduce trade restrictions
7. Abolish barriers to foreign direct investment
8. Privatize state-owned enterprises
9. Abolish policies that restrict competition
10. Provide secure, affordable property rights

From Douglas A. Irwin and Oliver Ward's blog, "What is the 'Washington Consensus?'"

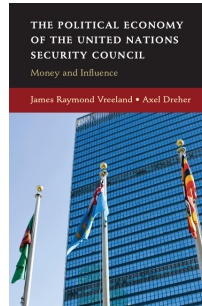
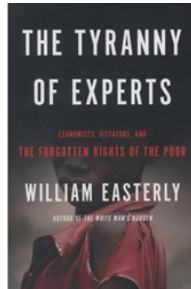
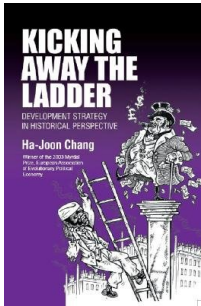
■ Bretton Woods.

- War is inherently costly and can be bad for business.
- ... it increases transaction costs.

■ Washington Consensus.

- ...but hegemons often impose their rules!

Why international integration? After the II world war



- Bretton Woods.
 - War is inherently costly and can be bad for business.
 - ... it increases transaction costs.
- Washington Consensus.
- ...but hegemons often impose their rules!

Why international integration? Less war/conflict



- **Increases the opportunity cost of war and conflict.**
 - War is inherently costly and can be bad for business.
 - ... it increases transaction costs.
- Domestic pressure can tie the hands of governments to go to war.
- ...but it may not be sufficient! (rational causes of war)

Why international integration? Less war/conflict



- Increases the opportunity cost of war and conflict.
 - War is inherently costly and can be bad for business.
 - ... it increases transaction costs.
- Domestic pressure can tie the hands of governments to go to war.
- ...but it may not be sufficient! (rational causes of war)

Why international integration? Less war/conflict



- Increases the opportunity cost of war and conflict.
 - War is inherently costly and can be bad for business.
 - ... it increases transaction costs.
- Domestic pressure can tie the hands of governments to go to war.
- ...but it may not be sufficient! (rational causes of war)

Why is there's opposition to it? Winners and losers

Country	Cars	Wheat
A	80\$	100\$
B	90\$	60\$

■ Who benefits:

- Export competing: By definition cheaper than in other places.

■ Who loses:

- Import competing: Produce for domestic market, but compete against cheaper foreign options.

Why is there's opposition to it? Winners and losers

Country	Cars	Wheat
A	70\$	
B		40\$

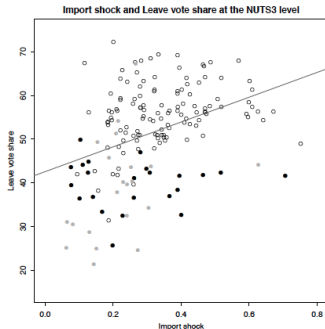
■ Who benefits:

- Export competing: By definition cheaper than in other places.

■ Who loses:

- Import competing: Produce for domestic market, but compete against cheaper foreign options.

Why is there's opposition to it? Winners and losers



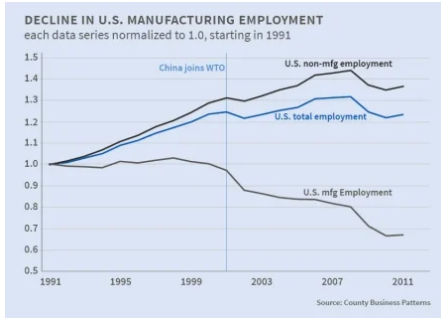
■ Who benefits:

- Export competing: By definition cheaper than in other places.

■ Who loses:

- Import competing: Produce for domestic market, but compete against cheaper foreign options.

Why the losers oppose international integration?



- **Adjustment costs: Lower employment and wages.**
 - Causes: firm exit/closure; off-shoring; automation.
- Coalition of workers and (or) firms that oppose.
 - Alignment by industry; import status; or multinational status.

Why the losers oppose international integration?



■ Adjustment costs: Lower employment and wages.

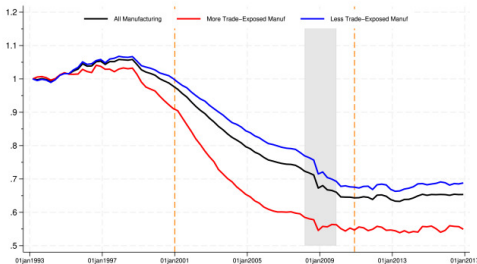
■ Causes: firm exit/closure; off-shoring; automation.

■ Coalition of workers and (or) firms that oppose.

■ Alignment by industry; import status; or multinational status.

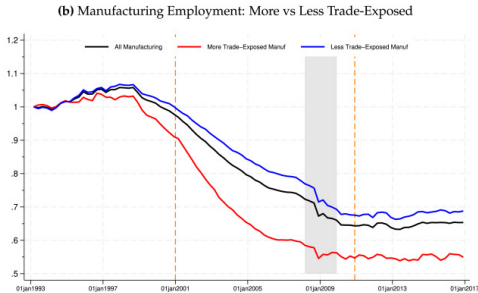
Why the losers oppose international integration?

(b) Manufacturing Employment: More vs Less Trade-Exposed



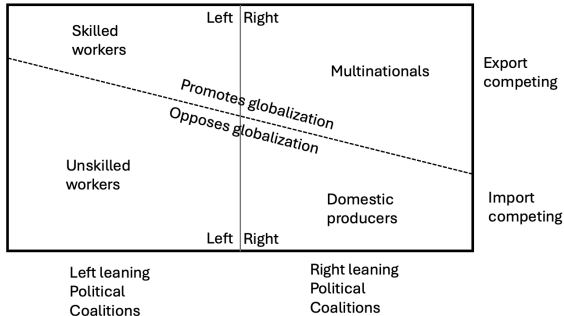
- Adjustment costs: Lower employment and wages.
 - Causes: firm exit/closure; off-shoring; automation.
- Coalition of workers and (or) firms that oppose.
 - Alignment by industry; import status; or multinational status.

Why the losers oppose international integration?



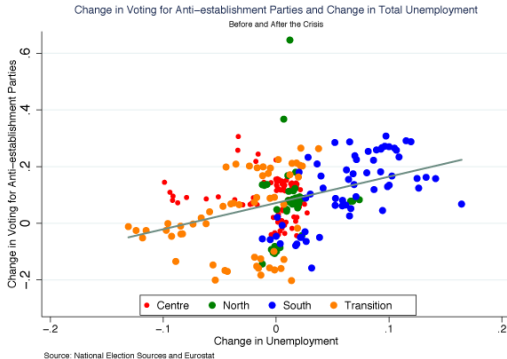
- Adjustment costs: Lower employment and wages.
 - Causes: firm exit/closure; off-shoring; automation.
- Coalition of workers and (or) firms that oppose.
 - Alignment by industry; import status; or multinational status.

Why the losers oppose international integration?



- Adjustment costs: Lower employment and wages.
 - Causes: firm exit/closure; off-shoring; automation.
- Coalition of workers and (or) firms that oppose.
 - Alignment by industry; import status; or multinational status.

The consequences



■ Rise of populism!

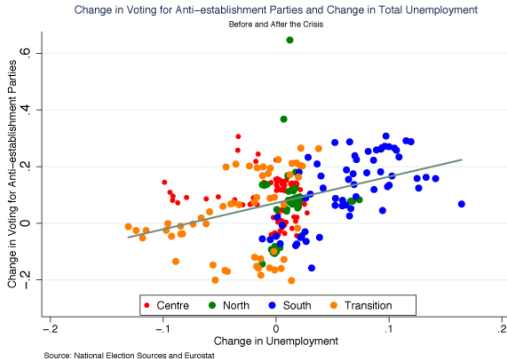
■ Rise of the far-right!

■ Economic impacts!

■ Fuels authoritarianism!

■ Fuels war/conflict!

The consequences



- Rise of populism!
- Rise of the far-right!
- Economic impacts!

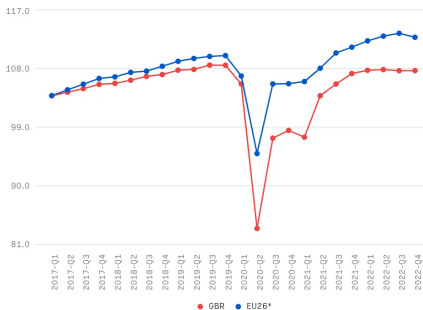
- Fuels authoritarianism!
- Fuels war/conflict!

The consequences

GDP growth UK vs. EU



The EU has grown by over 5 percentage points more than the UK since 2017.



Source: OECD (<https://data.oecd.org/gdp/quarterly-gdp.htm>) - *EU without Malta; GDP 2016 used to calculate per-country share - 2016-Q4 = 100.

■ Rise of populism!

■ Rise of the far-right!

■ Economic impacts!

■ Fuels authoritarianism!

■ Fuels war/conflict!

The consequences



- Rise of populism!
- Rise of the far-right!
- Economic impacts!
- Fuels authoritarianism!
- Fuels war/conflict!

The consequences



- Rise of populism!
- Rise of the far-right!
- Economic impacts!
- Fuels authoritarianism!
- Fuels war/conflict!

Theory is important for this class and beyond

Think about incentives and conditions

- What are the incentives of countries/politicians/groups/people?
- Why does international integration weaken/strengthen? When? How?

Theory is important for this class and beyond

Think about incentives and conditions

- What are the incentives of countries/politicians/groups/people?
- Why does international integration weaken/strengthen? When? How?

But most importantly

- How can we understand international cooperation? (knowledge!)
- How can we improve international cooperation? (policy!)

Theory is important for this class and beyond

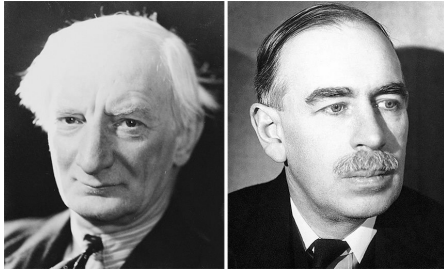
Think about incentives and conditions

- What are the incentives of countries/politicians/groups/people?
- Why does international integration weaken/strengthen? When? How?

But most importantly

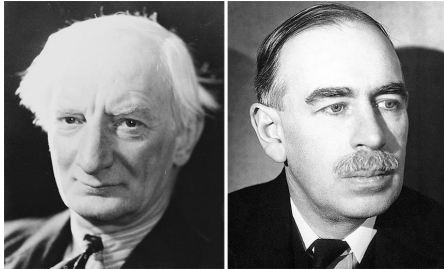
- How can we understand international cooperation? (knowledge!)
- How can we improve international cooperation? (policy!)

Can we address this via the welfare state?



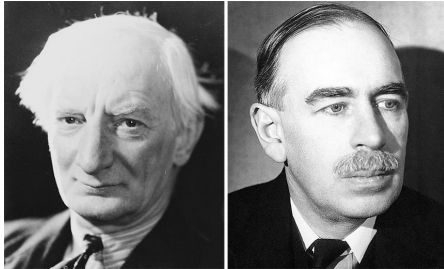
- Transfer from the winners to the losers!
- Compensation through public good provision.
 - Unemployment benefits; re-training; subsidies; transfers.

Can we address this via the welfare state?



- Transfer from the winners to the losers!
- Compensation through public good provision.
 - Unemployment benefits; re-training; subsidies; transfers.

Can we address this via the welfare state?



- Transfer from the winners to the losers!
- Compensation through public good provision.
 - Unemployment benefits; re-training; subsidies; transfers.
- But it is not easy!
- Can be inefficient; leaky buckets; problems in bureaucracy.

This class: trade adjustment costs and globalization

- **Hyperglobalization has led to increased economic nationalism.**
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.

This class: trade adjustment costs and globalization

- Hyperglobalization has led to increased economic nationalism.
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.

This class: trade adjustment costs and globalization

- Hyperglobalization has led to increased economic nationalism.
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.

This class: trade adjustment costs and globalization

- Hyperglobalization has led to increased economic nationalism.
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.

This class: trade adjustment costs and globalization

- Hyperglobalization has led to increased economic nationalism.
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.

This class: trade adjustment costs and globalization

- Hyperglobalization has led to increased economic nationalism.
- Explained by backlash from import competing sector.
 - Workers' wages and employment fall, and firms close.
- Losers of international trade (e.g. manufacturing) choose far right.
 - ...breaks alliance of workers to demand more redistribution.
 - ...creates alignment of workers and firms against freer trade.
- Lower economic integration increases transaction costs.
- Lower economic integration increases probability of war.
- Keynesianism can be an alternative to address the issue.



Class exercise: How can we prevent a backlash against globalization?

- 1 Make groups of 2/3 people.
- 2 Think of one policy that could have prevented Brexit.
- 3 Who would support this policy and why?
- 4 Who would oppose this policy and why?
- 5 Could the policy have been feasibly implemented?
- 6 15 minutes.
 - Feel free to use the Internet.
 - I will chose someone from the group.
 - Representative will convey main ideas.



Next class...

International trade and state development!